

Adjustment Policy

Issue No. 20/2026

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Adjustment Policy

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Adjustment Policy

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1. Scope of application

This adjustment policy forms the basis, worldwide, for the processing of complaints in Continental AG and its affiliated companies (together hereinafter “Continental”). It covers tires and non-tire products of Continental’s business area Tires. In compliance with the internal written standard procedures and the respective laws, it specifies the procedures to ensure fast, cost-efficient and smooth complaint handling ensuring a high degree of **customer satisfaction** as desired by Continental.

In addition, it also contains information on the internal flow of complaint data and payments to be adhered to by importers, sales companies and the respective Continental corporate companies. Under point 5, it also defines the procedure for **policy settlements**.

The settlement of product liability claims – where the claims are based on the deficiency of the product resulting in damage to property, personal injury or death – are not within the scope of this Adjustment Policy. Such cases have to be dealt with individually via the corresponding insurance coverage. Cases with severe personal injuries, especially fatalities, have always to be reported to the responsible law department.

2. Basis for the Settlement of Warranty Claims

The provisions relevant to the rights of buyers in the event of warranty claims, as contained in the general terms and conditions of the respective Continental corporate companies (regardless of their name; hereinafter “General Terms”), form the basis for the processing of complaints as far as agreed with the customer when the contract is concluded.

On an individual basis, complaint handling can also be based on the customer’s general terms and conditions, an individual contract, or the respective national law.

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3. Limitation period regarding Warranty Claims

The limitation period regarding warranty claims depends for each case on the respective legal basis. These may be General Terms, a customer's general terms and conditions, an individual contract or the applicable national law.

As far as the General Terms of Continental form the basis of the business relationship,

the warranty period for tires (new & retreaded) basically expires after two years from the date of sale to the end customer/consumer and / or not later than five years after production,

the warranty period for precured tread liner expires after two years from the date of delivery of the goods to the retread shop,

the warranty coverage for Cushion Gum and related auxiliary materials is 6 months from the production date indicated in the package box,

the warranty period for other products such as digital solutions expires after two years from the date of delivery of the goods or services to the customer/dealer,

In case of OE business the warranty period starts from the date of sale to the customer / consumer.

If a component has an expiry date, the warranty period ends latest after that date.

Limitation periods and other conditions may vary for specific product groups, such as OTR and Agricultural tires. Please refer to the respective warranty and adjustment policies of these product groups for further details.

Questions regarding the start of the limitation period should be addressed to the law department.

The warranty does not cover tires repaired by someone other than a Continental corporate company and/or tires on which the sidewall lettering is missing.

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Technical Customer Services Tires and the responsible market management is to be informed of deviations from the points 2 and 3 of this Adjustment Policy.

4. Responsibilities/authorization

Complaint handling in the markets can only be carried out by **technical customer services** engineers or importers who are authorized, by **Technical Customer Services Tires (TCS Tires)** according to Continental guidelines.

5. Assessment criteria

Complaints are only **compensated** if the result of analysis shows that it cannot be ruled out that a Continental corporate company has been responsible for the non-conformity of the product.

Tire complaints for deficiencies in performance or damages will always be rejected, if

- ➔ occurring as the result of the client's own negligence or as the result of external causes, such as, for example:
 - punctures, impact ruptures, cuts, mounting damage/bead rupture, repairs
- ➔ resulting from normal service, such as, for example
 - irregular wear, rapid wear
- ➔ occurring as a consequence of improper treatment/lack of care, such as
 - driving in an underinflated condition and/or with excessive load and/or badly adjusted vehicle geometry.

In exceptional cases, **commercial considerations** may dictate that a **policy adjustment** is made for complaints that **fail to qualify for a compensation on technical grounds**. These costs are to be borne by the individual sales unit. In agreement with marketing a budget or account is to be designated for importers.

The condition codes, issued by the **Technical Customer Services Tires** are the sole and definitive method to be used for **identifying** and **documenting** product conditions.

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6. Compensation arrangements

Tires and other products with a measurable wear

As far as allowed by the respective national law, the compensation for a technically recognized condition for tires and other products with a measurable wear depends on the degree of tire wear based on the measured remaining tread depth: **pro-rata refund**.

In this case, the remaining tread depths should be measured in the main grooves. The degree of wear is calculated based on the lowest tread depth measurement (see point 7).

Exception:

For technically recognized irregular wear conditions the compensation may be calculated based on the deepest tread depth measurement.

Any deviations from the pro-rata refund, e.g. due to the inadmissibility by national law, has to be agreed with Technical Customer Services Tires.

Non-tire Products

Unless provided otherwise by the respective national law, the compensation for a technically recognized condition for products without measurable wear is "new for old".

E.g. Tubes and Flaps

If complaints are raised against tubes and/or flaps without the relevant tires, a full 100% of the purchase price is reimbursed because the period of use cannot be established.

If, however, the relevant tire is also supplied, the degree of tire wear serves as the basis in determining the value.

If a tire fails in service due to a damaged tube, the complaint can only be properly evaluated and handled if the tubes (and flaps) are returned for inspection with the tire.

Note:

A tire alone showing evidence of underinflation will be rejected.

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E.g. Pre-cured tread liner

In case a pre-cured tread liner shows a warrantable condition, credit is given for the part/length that could not be used (unity length).

If a tire is retreaded (using a group or a non-group casing) with a group pre-cured tread liner and the retreaded tire fails in service due to a warrantable condition of the pre-cured tread liner, a pro-rata refund is calculated for the pre-cured tread liner, as per compensation calculation for a new tire (see point 8).

For the casing and/or retread process a goodwill compensation may be granted.

e.g. Digital Solutions

- The warranty does not cover loose containers glued by someone other than a Continental corporate company and certified dealer.
- Complaints are to be based on the to be exchanged article, not the bought one.
(e.g. Kit of 6 sensors was bought, 1 sensor is defective -> do not complaint 1/6th of the 6-sensor-kit, but a 1-sensor-kit).
- Defect batteries are included in the warranty (e.g. sensor battery, Handheld Tool battery).
- Under normal conditions, the service life of the sensor battery is approx. 4 years or 600 000 km, warranty applies only for 2 years.
- The warranty period of the glue is valid till the date of expiry, which is marked on the packaging.
- The use of tire internal substances will not automatically void our warranty on the Conti Pressure Check system (CPC). However, detrimental CPC conditions that are caused by or attributed to the use of these internal substances are not covered by our CPC warranty.

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In all cases, compensation is granted based on the purchase price.

Exceptions to this compensation rule must be approved by **Technical Customer Services Tires**, but will only be approved when required by national law. These differing legal regulations are to be submitted immediately and pro-actively to **Technical Customer Services Tires**.

Technical Customer Services Tires' approval is also necessary for any additional payments which are granted when required by national law, e.g. ancillary costs for mounting and handling. In some markets outside the EU, specific provisions in the countries make it necessary to reimburse importers for freight and customs surcharges in addition to the reimbursement paid out for pure product costs.

For costing reasons, these surcharges, which are, as a rule, agreed upon between importers and Continental, are also to be submitted to **Technical Customer Services Tires**.

Products compensated by Continental become the property of Continental.

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7. Compensation calculation for tires and tire treads

Compensation is calculated on the basis of the dealer cost price at the time of the complaint, taking into consideration the pro rata reduction in percent and the dealer's conditions.

Calculation/costing formula

New tread depth	NTD
Remaining tread depth	RTD
Minimum tread depth	MTD (= legal minimum tread depth in the country)
(In most countries: 1.6 mm)	

Credit in %:	RTD - MTD	x 100

	NTD - MTD	

Numerical example:

Credit in %:	6.5 - 1.6	x 100 = 62%

	9.5 - 1.6	

In accordance with common practice, the percentage is rounded up to the nearest 5%. In the above example, this would be 65%. Calculated compensations greater than 86 % are rounded up to 100%.

Truck tires exhibiting a warrantable condition during 1st life with a remaining tread depth of 0 – 15 % can be credited up to a maximum of 15 %. 'Non-retreadable' casings and/or failures in retreaded tires not retreaded by a Continental corporate company are not covered under this policy.

Since most of the Commercial Specialty Tires are in use on vehicles which are not operating on public roads the MTD is not considered. The only exceptions are agricultural tires and MPT tires.

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Exception:

Compensation for tires used in applications where the wear rate is very low:

tire age	up to 36	37-48	49-60	61-72	73-84	85-96	97-108	109-120	>120
	months								

refund factor	1	0.9	0.8	0.7	0.6	0.5	0.4	0.3	0
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Example: remaining tread depth to be reimbursed 75 %
tire age 50 months (refund factor 0.8), $75 \times 0.8 = 60$ % Discount

8. Fundamentals of complaint handling

For the following reasons it is absolutely essential that complaints are accurately processed by experts:

Due to o German product liability law and regulations regarding warranty claims there is the **duty to monitor product performance in the market.**

Product innovations:

Knowing how well the product is performing in the market is an important way of bringing about the product improvements that will ultimately provide the customer with just the product that he/she needs for the intended application.

The aforementioned aspects make it necessary that the complaint data is carefully compiled and uniformly processed and that this data is made available by means of regular reporting to the national technical customer **services** teams and to **Technical Customer Services Tires.**

The duty to monitor the product performance is also to be included in all agreements made with the importers of all Continental corporate companies.

The lump sum processing arrangement agreed for some Continental tire brands does not replace the need for product monitoring. Its sole purpose is to provide a process for internally calculating and allocating complaint adjustment costs.

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9. Complaint data

All Products

In markets with a Continental sales company the complaint data is entered locally into SAP. Complaint data is checked in SAP for technical and commercial plausibility and initiates the process in which the producing plant is charged with the adjustment costs.

In “importer markets”, the importers forward all complaint data to **Technical Customer Services Tires**.

This process is described in Handling of Claims within the Tire Division.

Technical Customer Services Tires then checks the plausibility of the complaint data received.

Only the complaint data which fulfil the technical and commercial criteria will be processed.

Tires

A key point regarding transfer of tire complaint data is the accurate and complete input of the **13-character DOT code** moulded into the sidewall of the tire. This code is very important in ensuring efficient complaint processing (see annex).

It is very important that the full DOT code is used when transmitting adjustment data.

Note: If the full DOT code is not available (e.g. some specialty tires), or not visible due to tire damage, the specific article number will be used to register the complained tire in SAP. **Technical Customer Services Tires** can be of assistance here.

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DOT = Department of Transportation

How to identify the week and year of production from the DOT code

From January 1, 2000 the production date code contains 4 digits, 2 for the week and 2 for the year.

Examples:

DOT:	HW plant	CD FNF1 size and type	2318 week 23 of 2018
DOT:	6Y plant	3T KLWA size and type	1119 week 11 of 2019
DOT:	1CP plant	MV W1MT manufacturer code	2120 week 21 of 2020

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Change History

Issue No.	Issue Date	Owner	Change
05	February 2006	Lydia Ehrenberg	New issue
06	August 2007	Lydia Ehrenberg	Modifications to topics 5, 6, 8, 10
07	April 2008	Lydia Ehrenberg	Modifications to topic 7
08	July 2009	Lydia Ehrenberg	Modifications to topics 3, 7
09	September 2009	Lydia Ehrenberg	Modifications to topic 1
10	October 2011	Lydia Ehrenberg	Modifications to topics 1- 11
11	August 2012	Lydia Ehrenberg	Modifications to topics 6, 7
12	September 2013	Lydia Ehrenberg	New Conti logo Modifications to topics 3, 6
13	February 2017	Lydia Ehrenberg	New Department name Modifications to topics 1 + 2

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14	June 2018	Lydia Ehrenberg	Modifications to all topics; Deleted topics: 6. Special cases 11. Special topic: Dealer instructions/recommendations
15	July 2021	Lydia Ehrenberg	Modifications to all topics New topic: E.g. Digital Solutions (part of topic 6) New paging New disclaimer
16	July 2022	Ralf Gellermann	Modifications to topic 3
17	November 2023	Ralf Gellermann	Modifications to topic 6 & 7
18	June 2024	Ralf Gellermann	Modifications to topic 3
19	April 2025	Ralf Gellermann	Modifications to topic 3, 6 & 9
20	April 2026	Ralf Gellermann	Modifications to topic 9

Impressum

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